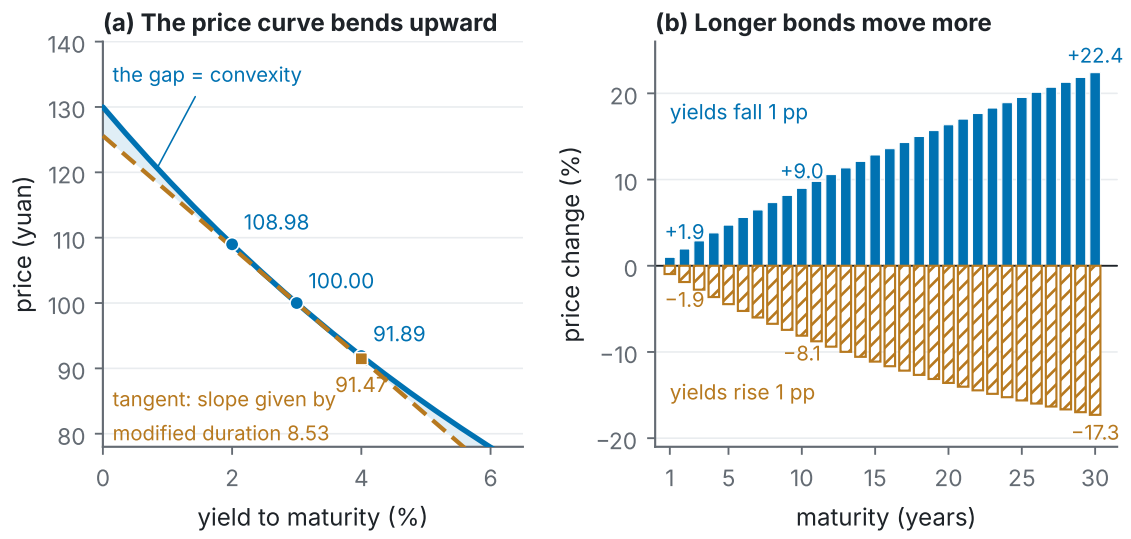
(a) The price curve bends upward
the gap = convexity
108.98
100.00
91.89
91.47
tangent: slope given by
modified duration 8.53
price (yuan)
yield to maturity (%)
(b) Longer bonds move more
+22.4
yields fall 1 pp
+9.0
+1.9
−1.9
−8.1
yields rise 1 pp
−17.3
price change (%)
maturity (years)